

MOCK TEST: MACROECONOMICS

Balance of Payments (Unit 5)

Time: 1 Hour

Max Marks: 35

SECTION A: Multiple Choice Questions (1 Mark Each)

Q1. Balance of Payments is a record of:

- a) Visible trade only | b) All economic transactions
- c) Gold reserves only | d) Capital flows only

Q2. Which of the following is included in the 'Current Account'?

- a) FDI (Physical Assets) | b) Borrowings from IMF
- c) Trade in Services | d) Portfolio Investment

Q3. An item that leads to an OUTFLOW of foreign exchange is:

- a) Export of software | b) Foreigners buying shares
- c) Import of machinery | d) Borrowing from abroad

Q4. If visible exports exceed visible imports, it is called:

- a) Trade Deficit | b) BoP Deficit
- c) Trade Surplus | d) Current Account Deficit

Q5. Exchange Rate is the price of:

- a) Gold in currency | b) Domestic in terms of Foreign
- c) Stocks in currency | d) None of these

SECTION B: Very Short Answer (1 Mark Each)

Q6. Define 'Balance of Payments'.

Q7. What is 'Balance of Trade'?

Q8. Differentiate between 'FDI' and 'FII' in one line.

Q9. What is meant by 'Devaluation' of currency?

Q10. Name one component of the Capital Account.

SECTION C: Short Answer (3 Marks Each)

Q11. Distinguish between 'Current Account' and 'Capital Account'.

Q12. Explain 'Credit' vs 'Debit' items in the BoP accounting.

Q13. What is the difference between 'Fixed' and 'Floating' Exchange Rates?

Q14. Why is BoP always balanced in an accounting sense?

Q15. List three invisible items included in the Current Account.

SECTION D: Long Answer / Numerical (5 Marks Each)

Q16. Numerical Problem:

Data (in ₹ Crores):

- Exports (Goods): 500 | - Imports (Goods): 400
- Exports (Services): 100 | - Imports (Services): 80
- Net Unilateral Transfers: -20

Calculate: (a) Balance of Trade (b) Current Account Balance.

Q17. Explain the components of the Current Account in detail (Visible, Invisible, income, transfers).

ANSWER KEY & SOLUTIONS

Q1-Q5: b, c, c, c, b

Q16 Solution:

(a) Balance of Trade = Exports(G) - Imports(G) = 500 - 400 = ₹ **100 Crores**

(b) Current Account Balance = (Exp G - Imp G) + (Exp S - Imp S) + Net Transfers
= (500-400) + (100-80) + (-20) = 100 + 20 - 20 = ₹ **100 Crores**

A Mock Test Of Macroeconomics Class 12 Chapter balance of payment by Thunderstudy